

Problem set 6: Rent-seeking and Public Choice

Rent seeking

1. Explain what is an economic rent
2. A landlord charges a 1000\$ rent from a tenant. The tenant values the use of the apartment by 1,200\$. Does the rent reflect economic rent?
3. Anne Krueger argues that, due to rent-seeking, it might be better to have a monopoly if a license for production is required. Explain the logic behind this claim.
4. “Thefts are efficient, because the criminal clearly values the product more than the victim, as otherwise the criminal wouldn’t have been willing to risk going to prison”. Explain why this claim is correct (or incorrect) from an efficiency perspective.

Public Choice

5. Explain what is the median voter theorem.
6. “Politicians are elected by the people, so it is in their best interest to maximize social welfare”. Explain why this saying may be incorrect according to public choice theory.
7. Jim is a trial court judge. His utility function is $U_j = \alpha x + (1 - \alpha)y$, where: x is an effort cost, y is a measure for his reputation, and $\alpha \in (0,1)$ is the relative importance he places on effort costs compared to reputation. Suppose that the government, however, cares only about effort costs – as this is typically expressed by the number of hours judges work. Hence, the social welfare function is

$$SW = xR - xC$$

Where R is the benefit from judge’s effort, and $C < R$ is the cost of paying judges for their work.

- (a) Would we expect judges to have an incentive problem when choosing how much effort to exert?
- (b) Suppose that judges’ utility function would also reflect the fact that higher effort means less leisure time. Hence, $U'_j = \alpha x - xL + (1 - \alpha)y$ where L is the leisure benefit lost due to effort. Does anything change then?
- (c) The government wants to tie the reputation of the judge to the effort. Hence, whenever the judge issues a decision, he gets a fixed bonus of 100 EUR. What are the advantages and disadvantages of this from an efficiency perspective?